

05 Preparation of financial statements

Topical Question Bank | Paper 2 | 2021-2025

Questions only - original examination pages retained

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5.1 Sole traders

Included questions

4

2

- 1 Shiv is a trader. His financial year ends on 31 August. He does not maintain a full set of accounting records but was able to provide the following information for the year ended 31 August 2021.

Total revenue \$320 000
Mark-up 25%

Bank account summary for the year ended 31 August 2021

	\$		\$
Balance b/d	49 000	Expenses	34 000
Cash sales	3 700	Drawings	4 200
Receipts from trade receivables	312 400	Payments to trade payables	257 700
		Equipment	16 000
		Balance c/d	53 200
	<u>365 100</u>		<u>365 100</u>

Assets and liabilities

	1 September 2020	31 August 2021
	\$	\$
Inventory at cost	23 500	?
Trade receivables	22 000	25 900
Expenses owing	—	400
Trade payables	32 600	29 600
Equipment at net book value	—	12 800
Premises at cost	90 000	90 000

Shiv had withdrawn \$900 for a family holiday during the year. He had included this in the expenses.

On 31 August 2021 Shiv decided to create a provision for doubtful debts of 3% of trade receivables.

REQUIRED

- (a) Calculate the purchases for the year ended 31 August 2021.

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..... [3]

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- (b) Prepare the income statement for the year ended 31 August 2021. The inventory on 31 August 2021 should be clearly shown within the statement.

Shiv
Income Statement for the year ended 31 August 2021

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[11]

- (c) Name the accounting principle Shiv should apply when recording the \$900 he had used for a family holiday.

..... [1]

4

Shiv has always valued his inventory at cost price. He is considering valuing the inventory on 31 August 2021 at selling price as he believes it would result in a higher profit for the year.

REQUIRED

(d) Discuss the implications of Shiv valuing the inventory on 31 August 2021 at selling price.

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..... [5]

[Total: 20]

PLEASE TURN OVER

10

3 The following balances have been taken from the accounts of RB, a trader.

	1 April 2021	31 March 2022
	\$	\$
Insurance	2500 prepaid	850 prepaid
Commission receivable	700 owing	630 owing

The following transactions relate to the year ended 31 March 2022. All receipts and payments were through the bank account.

	\$
Insurance paid	15 300
Insurance refund	600
Commission receivable	7 200

REQUIRED

(a) Prepare the following ledger accounts for the year ended 31 March 2022. Balance the accounts and bring down the balances on 1 April 2022.

RB
Insurance account

Date	Details	\$	Date	Details	\$
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11

Commission receivable account

Date	Details	\$	Date	Details	\$
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[8]

- (b) Prepare the entries for insurance and commission receivable in RB’s statement of financial position at 31 March 2022.

RB

Extract from statement of financial position at 31 March 2022

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..... [2]

- (c) Explain why the matching principle is important in the preparation of RB’s income statement.

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..... [3]

12

RB has arranged with his suppliers to receive a 25% trade discount off list price and a 2% cash discount. The cash discount is only for payments made within 10 days.

On 5 March 2022 RB received an invoice from JP for the supply of goods with a list price of \$3000. The invoice was paid on 13 March 2022.

REQUIRED

(d) Calculate each of the following:

(i) the trade discount

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..... [1]

(ii) the cash discount

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..... [1]

(iii) the amount paid to the supplier JP

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..... [1]

(e) Complete the table below indicating with a tick (✓) the effect of **each** type of discount on gross profit and profit for the year.

Discount allowed

	increase	decrease	no effect
gross profit			
profit for the year			

Discount received

	increase	decrease	no effect
gross profit			
profit for the year			

[4]

[Total: 20]

* 0000800000006 *



6

- 2 Viraj is a retailer. He buys on credit and sells for cash. He rents out an area of the shop to another business for \$172 per month.

Viraj’s trial balance at 31 January 2025 was as follows:

Viraj		
Trial Balance at 31 January 2025		
	Debit	Credit
	\$	\$
Revenue		89 600
Rental income		2 580
Sales returns	2 195	
Inventory at 1 February 2024	4 500	
Purchases	53 700	
Rent and insurance	8 760	
General expenses	2 945	
Wages	7 350	
Stationery and advertising	710	
Bank charges	143	
Fixtures and fittings at cost	12 500	
Provision for depreciation of fixtures and fittings		3 750
Trade payables		3 125
Bank overdraft		1 260
Capital		7 793
Drawings	15 305	
	<u>108 108</u>	<u>108 108</u>

Additional information

- 1 Inventory at 31 January 2025 was valued at \$5900.
- 2 Depreciation on fixtures and fittings is to be charged at 15% per annum using the straight-line method.
- 3 Rental income included the amount due for the period from 1 February 2025 to 30 April 2025.
- 4 At 31 January 2025, Viraj owed \$282 for wages and \$55 for advertising.
- 5 After the trial balance was prepared, Viraj received a bank statement which showed that bank charges of \$13 had been paid in January 2025.

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7

REQUIRED

- (a)** Prepare the income statement for Viraj for the year ended 31 January 2025.

Viraj
Income Statement for the year ended 31 January 2025

[illegible]

[9]

* 0000800000008 *



8

(b) Prepare the current liabilities section of Viraj’s statement of financial position at 31 January 2025.

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..... [4]

(c) State the accounting principle which Viraj has followed when he did **not** include a figure in his statement of financial position for:

(i) his inventory of price labels

..... [1]

(ii) his skills as a salesman.

..... [1]

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9

REQUIRED

- (d) Advise Viraj whether or not he should refurbish the shop. Justify your answer by providing **two** advantages and **two** disadvantages of Viraj refurbishing the shop.

[5]

[Total: 20]



12

4 Talula owns a hairdressing salon. She also rents out part of her property to Sheila, who offers a range of beauty treatments. Talula provided the following information for the year ended 30 September 2025.

	\$
Salaries	81 500
Electricity charges	23 500
Water charges	4 150
Income from hairdressing	124 700
Insurance	2 067
General expenses	952
Property tax	3 045
Rent received from Sheila	6 400

Additional information:

- 1 Insurance of \$2067 is for the period from 1 October 2024 to 31 October 2025.
- 2 Sheila commenced renting property from Talula on 1 October 2024. There remains two months of rental payments in arrears.
- 3 Property tax of \$3045 is for the period 1 October 2024 to 31 December 2025.

REQUIRED

(a) Prepare Talula’s income statement for the year ended 30 September 2025.

Talula
Income Statement for the year ended 30 September 2025

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[5]

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DFD



13

Talula has been notified by her electricity supplier that costs of electricity will increase by 15% with effect from January 2026.

REQUIRED

(b) Suggest **two** courses of action that Talula might take to ensure that her profit for the year is **not** affected. For **each** course of action, state what impact the course of action might have on Talula's business. An example has been provided in the table.

Suggested course of action	Impact on the business
<i>Increase service prices</i>	<i>Reduced number of customers</i>

[4]



14

To allow debit and credit card payments, Talula would need to incur the following costs:

Digital cash register	\$550
Card payment machine (hired)	\$20 per month
Transaction charge	1.5% of the value of each transaction

REQUIRED

- (c) Advise Talula whether or not she should accept card payments. Justify your answer by providing **two** arguments for and **two** arguments against Talula accepting debit and credit card payments.

[5]

[5]

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DFD



15

Sheila, who rents part of Talula’s premises, has asked Talula if she would be interested in forming a partnership.

REQUIRED

(d) State **three** advantages for Talula of forming a partnership with Sheila.

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[3]

(e) Identify **three** clauses (other than how profit or loss will be shared) that the partnership agreement should cover if Talula agrees to the partnership with Sheila.

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[3]

[Total: 20]

5.2 Partnerships

Included questions

8

6

2 John and Banu are partners.

The partners provided the following list of balances at 31 March 2021.

	\$
Revenue	158 000
Inventory at 1 April 2020	9 400
Purchases	69 200
Rates and insurance	11 250
Wages	10 475
General expenses	9 675
Discount allowed	2 000
Commission receivable	4 800
Balance at bank	4 000
Trade receivables	14 150
Trade payables	5 835
Premises at cost	130 000
Fittings at cost	18 000
Provision for depreciation of fittings	8 100
Loan from John	10 000
Capital accounts	
John	75 000
Banu	50 000
Current accounts	
John	4 050
Banu	2 365
Drawings	
John	19 000
Banu	21 000

Additional information

- 1 Inventory at 31 March 2021 was valued at \$9200.
- 2 Rates of \$650 were unpaid at 31 March 2021.
- 3 Commission receivable of \$300 was due at 31 March 2021.
- 4 Depreciation on fittings is to be charged at 15% per annum using the straight-line method.
- 5 The partnership agreement provides for:
 - interest on partner's loan of 5% per annum
 - interest on drawings of 6%
 - interest on capital of 3% per annum
 - a salary to John of \$8500 per annum
 - residual profits and losses to be shared 40% to John and 60% to Banu.

REQUIRED

- John and Banu
Income Statement for the year ended 31 March 2021

[illegible]

21

8

(b) Prepare the appropriation account for John and Banu for the year ended 31 March 2021.

John and Banu		
Appropriation Account for the year ended 31 March 2021		
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[5]

(c) State the purpose of:

(i) charging interest on the partners' drawings

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..... [1]

(ii) paying interest on the loan from John.

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..... [1]

9

- (d) Complete the table by placing a tick (✓) against **each** statement which describes an advantage to John of being in a partnership with Banu.

Continuity of existence of the business	
Banu may have skills and knowledge which John does not have	
John is only liable for business debts up to the amount he agreed to contribute	
Additional finance is available to the business	
Risks and responsibilities are shared	
John is bound by the actions of Banu carried out on behalf of the business	
John can discuss matters with Banu before making decisions	

[4]

[Total: 20]

14

Demis has received a bank statement which shows that there were unpresented cheques of \$437 at 31 December 2021. There were no outstanding lodgements.

REQUIRED

(b) Calculate the bank balance shown on the bank statement at 31 December 2021. Indicate whether this balance is a debit or a credit balance.

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..... [2]

Demis later discovered the following errors.

- 1 Drawings of goods for own use, \$317, had been omitted from the books of account.
- 2 Purchases returns, \$93, had been credited to the sales account.
- 3 A payment for property insurance, \$500, had been debited to the property account.
- 4 A credit purchase, \$315, from Erin, had been recorded as \$135.
- 5 A credit sale, \$191, to Harvinder, had been debited to the sales account and credited to Harvinder's account.

15

REQUIRED

(c) Complete the following table to show the entries required to correct **each** error.

Error	Entries required to correct the error			
	Debit		Credit	
	Account	\$	Account	\$
1. Drawings of goods for own use, \$317, had been omitted from the books of account.				
2. Purchases returns, \$93, had been credited to the sales account.				
3. A payment for property insurance, \$500, had been debited to the property account.				
4. A credit purchase, \$315, from Erin, had been recorded as \$135.				
5. A credit sale, \$191, to Harvinder, had been debited to the sales account and credited to Harvinder's account.				

[10]

(d) Identify the following error types from the table above.

(i) error 2

..... [1]

(ii) error 4

..... [1]

[Total: 20]

SUBTOPIC: 5.2 Partnerships

16

- 5** Priti and Paisley are in partnership renting out properties. Paisley manages the office and maintains the bookkeeping records for the partnership.

The partnership agreement provides for

Interest on drawings	5% per annum
Interest on capital	4% per annum
Salary to Paisley	\$6000 per annum
Residual profits and losses to be shared 75% to Priti and 25% to Paisley.	

The partners provided the following list of balances.

	\$
Capital accounts at 1 February 2021	
Priti	100 000
Paisley	20 000
Current accounts at 1 February 2021	
Priti	7 932 credit
Paisley	2 350 credit
Drawings for the year ended 31 January 2022	
Priti	15 000
Paisley	13 000

The profit for the year ended 31 January 2022 was \$33 100.

17

REQUIRED

(a) Prepare the appropriation account for Priti and Paisley for the year ended 31 January 2022.

Priti and Paisley
Appropriation Account for the year ended 31 January 2022

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[6]

18

(b) Prepare Paisley’s current account for the year ended 31 January 2022. Balance the account and bring down the balance on 1 February 2022.

Paisley Current account					
Date	Details	\$	Date	Details	\$
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[6]

(c) Suggest three reasons why Paisley may **not** be satisfied with his overall share of the profit for the year to 31 January 2022.

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- 2
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- 3
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[3]

19

Priti and Paisley are planning to purchase more properties to rent out. They are considering forming a limited company as they believe this would make it easier for them to raise the finance for the purchase of the properties.

REQUIRED

- (d) Advise Priti and Paisley whether or not they should form a limited company.
Justify your answer with **two** advantages and **two** disadvantages.

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[Total: 20]

20

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15

- 5 Sian and Tom are in partnership sharing profits and losses in proportion to capital invested. The partnership agreement states the following:
- 1 interest on capital is allowed at 6% per annum
 - 2 Sian is allowed a salary of \$20 000 per annum
 - 3 interest on drawings is charged at 3% per annum, charged for each proportion of the year

The profit for the year before appropriation for the year ended 31 March 2022 was \$59 190.

Drawings made during the year were:

	Sian	Tom
	\$	\$
1 April 2021	8 000	10 000
1 October 2021	6 000	12 000

The capital account balances on 1 April 2021 were:

	\$
Sian	150 000
Tom	100 000

REQUIRED

- Sian and Tom
- Profit and loss appropriation account for the year ended 31 March 2022

[illegible]

32

The current account balances on 1 April 2021 were:

REQUIRED

- (b)** Prepare the extract from the statement of financial position of Sian and Tom that shows the capital accounts and the full details of their current accounts at 31 March 2022.

Sian and Tom
Statement of financial position (extract) at 31 March 2022

[illegible]

[8]

18

(c) Explain the significance of a debit balance in a partner’s current account.

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..... [2]

Sian and Tom prepare their financial statements on a going concern basis.

(d) Explain the accounting principle of going concern.

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..... [2]

[Total: 20]

20

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18

- 5 Samir and Punita are in partnership. The partnership agreement provides for the following:
- interest on drawings of 5%
 - interest on capital of 3% per annum
 - a salary to Punita of \$11 000 per annum
 - residual profits and losses are to be shared 60% to Samir and 40% to Punita.

The partners provided the following information.

	\$
Profit for the year ended 31 December 2022	24 600
Capital account balances at 1 January 2022	
Samir	80 000
Punita	75 000
Current account balances at 1 January 2022	
Samir	6 450 credit
Punita	8 335 credit
Drawings for the year ended 31 December 2022	
Samir	16 000
Punita	12 400

19

REQUIRED

(a) Prepare the appropriation account for Samir and Punita for the year ended 31 December 2022.

Samir and Punita
Appropriation Account for the year ended 31 December 2022

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[6]

20

- (b) Prepare Punita’s current account for the year ended 31 December 2022. Balance the account and bring down the balance at 1 January 2023.

Punita
Current account

Date	Details	\$	Date	Details	\$
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[6]

Samir would now like to pay the expenses of his own private car from the partnership bank account.

REQUIRED

- (c) Place a tick (✓) in the appropriate boxes below to show the effects of Samir paying the expenses of his own private car from the partnership bank account.

	Increase	Decrease	No effect
Partnership profit for the year			
Samir’s drawings			
Samir’s interest on drawings			

[3]

21

Samir and Punita are considering converting the partnership to a limited company. They do not anticipate any need for additional capital.

REQUIRED

- (d) Advise Samir and Punita whether they should convert the business to a limited company. Justify your answer with **two** advantages and **two** disadvantages of converting the business to a limited company.

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[Total: 20]

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12

- 4 Akila and Darius are in partnership. The partnership agreement provides for the following:
- interest on capital of 3% per annum
 - interest on drawings of 5%
 - a salary to Akila of \$9500 per annum
 - residual profits and losses to be shared 60% to Akila and 40% to Darius.

The partners provided the following list of balances.

	\$
Capital accounts at 1 May 2022	
Akila	90 000
Darius	65 000
Current accounts at 1 May 2022	
Akila	2 600 debit
Darius	4 745 credit
Drawings for the year ended 30 April 2023	
Akila	19 400
Darius	16 320

The profit for the year ended 30 April 2023 was \$42 304.

REQUIRED

- (a) Prepare the appropriation account on the opposite page for Akila and Darius for the year ended 30 April 2023.

13

Akila and Darius
Appropriation Account for the year ended 30 April 2023

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[6]

14

(b) (i) Prepare Akila’s current account for the year ended 30 April 2023.

Akila Current account					
Date	Details	\$	Date	Details	\$
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[5]

(ii) Calculate the balance on Akila’s current account at 30 April 2023 if he had been due \$1000 loan interest from the partnership.

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..... [2]

Akila and Darius’s partnership agreement provided for salary, interest on capital, interest on drawings, and profit share.

(c) State **two** other items which are usually included in a partnership agreement.

1

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2

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[2]

15

Akila and Darius are considering forming a limited company. They would be the only two shareholders in the company.

- (d) Advise Akila and Darius whether they should form a limited company. Justify your answer with **two** advantages and **two** disadvantages of Akila and Darius forming a limited company.

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..... [5]

[Total: 20]

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14

- 4 Tadeen and Yadid are lawyers who have been in partnership for many years. The partners provided the following trial balance at 30 April 2024.

Tadeen and Yadid	
Trial balance at 30 April 2024	
	\$ \$
Revenue	236 350
Salaries	79 800
Rates and insurance	17 320
Advertising	16 730
Office expenses	6 150
Interest on loan from Tadeen	1 200
Premises at cost	180 000
Fittings and equipment at cost	70 000
Provision for depreciation of fittings and equipment	31 500
Receivables	24 200
Cash at bank	19 335
Cash in hand	1 375
Loan from Tadeen	20 000
Capital accounts	
Tadeen	125 000
Yadid	85 000
Current accounts	
Tadeen	3 300
Yadid	4 240
Drawings	
Tadeen	34 300
Yadid	46 500
	<u>501 150 501 150</u>

Additional information

- 1 Rates and insurance include an amount of \$1920 for the year 1 March 2024 to 28 February 2025.
- 2 At 30 April 2024, \$1800 for salaries was due but unpaid.
- 3 Irrecoverable receivables of \$670 are to be written off.
- 4 Depreciation on fittings and equipment is to be charged at 15% per annum using the straight-line method.
- 5 The partnership agreement provides for
 - interest on partner's loan of 6% per annum
 - interest on drawings of 5%
 - interest on capital of 3% per annum
 - a salary to Yadid of \$10 000 per annum
 - residual profits and losses are to be shared 60% to Tadeen and 40% to Yadid.

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5

(a) Prepare the income statement for Tadeen and Yadid for the year ended 30 April 2024.

\$

[illegible]

49

* 0019655426316 *



(b) Prepare the appropriation account for Tadeen and Yadid for the year ended 30 April 2024.

Tadeen and Yadid
Appropriation account for the year ended 30 April 2024

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[5]

(c) State

(i) **one** reason why the partners might consider reducing their drawings

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(ii) which accounting principle reflects the partners' intention to continue trading indefinitely.

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The partners employ one lawyer and office staff. The lawyer, Lakia is paid \$25 000 but has decided to leave. Tadeen and Yadid have found a replacement lawyer, Raim. He has worked as a lawyer for 15 years and is well known in the local area. However, Raim wants to be a partner in the business rather than an employee and would expect 40% of the residual profit of the partnership each year.

REQUIRED

(d) Advise Tadeen and Yadid whether or not they should offer Raim a partnership. Justify your answer by providing points for and against offering Raim a partnership.

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..... [5]

[Total: 20]

14

- 4 Tadeen and Yadid are lawyers who have been in partnership for many years. The partners provided the following trial balance at 30 April 2024.

Tadeen and Yadid		
Trial balance at 30 April 2024		
	\$	\$
Revenue		236 350
Salaries	79 800	
Rates and insurance	17 320	
Advertising	16 730	
Office expenses	6 150	
Interest on loan from Tadeen	1 200	
Premises at cost	180 000	
Fittings and equipment at cost	70 000	
Provision for depreciation of fittings and equipment		31 500
Receivables	24 200	
Cash at bank	19 335	
Cash in hand	1 375	
Loan from Tadeen		20 000
Capital accounts		
Tadeen		125 000
Yadid		85 000
Current accounts		
Tadeen		3 300
Yadid	4 240	
Drawings		
Tadeen	34 300	
Yadid	46 500	
	<u>501 150</u>	<u>501 150</u>

Additional information

- Rates and insurance include an amount of \$1920 for the year 1 March 2024 to 28 February 2025.
- At 30 April 2024, \$1800 for salaries was due but unpaid.
- Irrecoverable receivables of \$670 are to be written off.
- Depreciation on fittings and equipment is to be charged at 15% per annum using the straight-line method.
- The partnership agreement provides for
 - interest on partner's loan of 6% per annum
 - interest on drawings of 5%
 - interest on capital of 3% per annum
 - a salary to Yadid of \$10 000 per annum
 - residual profits and losses are to be shared 60% to Tadeen and 40% to Yadid.

REQUIRED

- Tadeen and Yadid
Income Statement for the year ended 30 April 2024

[illegible]

53

16

(b) Prepare the appropriation account for Tadeen and Yadid for the year ended 30 April 2024.

Tadeen and Yadid
Appropriation account for the year ended 30 April 2024

	\$	\$
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[5]

(c) State

(i) one reason why the partners might consider reducing their drawings

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..... [1]

(ii) which accounting principle reflects the partners' intention to continue trading indefinitely.

..... [1]

17

The partners employ one lawyer and office staff. The lawyer, Lakia is paid \$25 000 but has decided to leave. Tadeen and Yadid have found a replacement lawyer, Raim. He has worked as a lawyer for 15 years and is well known in the local area. However, Raim wants to be a partner in the business rather than an employee and would expect 40% of the residual profit of the partnership each year.

REQUIRED

- (d) Advise Tadeen and Yadid whether or not they should offer Raim a partnership. Justify your answer by providing points for and against offering Raim a partnership.

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[Total: 20]

* 0000800000006 *



6

2 Ali and Sai are in partnership. Their financial year ends on 30 June. Their partnership agreement includes the following items.

Interest on capital is allowed at 6% per annum.

Interest on drawings is charged at 5%.

Sai is entitled to a partnership salary of \$10 050 per annum.

Ali and Sai share residual profits and losses in the ratio 3:2.

Ali and Sai have provided the following information:

	Ali \$	Sai \$
Drawings for the year ended 30 June 2024	11 000	16 000
Capital at 1 July 2023	60 000	40 000
Current account at 1 July 2023	1800 debit	250 credit

Profit for the year before interest on loan was \$42 700.

Ali provided a loan to the partnership of \$10 000 at an interest rate of 5% per annum. The interest payment for the year ended 30 June 2024 has been made. The partnership has no other loans.

REQUIRED:

(a) Prepare the profit and loss appropriation account on page 7 for the year ended 30 June 2024.

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7



Ali and Sai
Profit and loss appropriation account for the year ended 30 June 2024

	\$	\$
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[8]

* 0000800000008 *



8

(b) Prepare the capital and current accounts for Sai for the year ended 30 June 2024 and bring down the balances on 1 July 2024.

Sai
Capital account for the year ended 30 June 2024

Date	Details	\$	Date	Details	\$
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Sai
Current account for the year ended 30 June 2024

Date	Details	\$	Date	Details	\$
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[8]

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9



(c) State **two** disadvantages of operating as a partnership.

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..... [2]

(d) Prepare the journal entry to record the payment of interest on the loan provided by Ali. A narrative is **not** required.

Ali & Sai Journal		
Details	Debit \$	Credit \$

[2]

[Total: 20]

5.3 Limited companies

Included questions

7

8

- 3 The trial balance of HV Limited at 31 March 2021 was as follows.

HV Limited		
Trial Balance at 31 March 2021		
	Debit	Credit
	\$	\$
Revenue		145 000
Inventory at 1 April 2020	5 820	
Purchases	64 900	
Rent and insurance	9 280	
Wages	24 750	
Operating expenses	8 500	
Fittings at cost	200 000	
Provision for depreciation of fittings		72 000
Trade receivables	12 500	
Bank	13 765	
Trade payables		6 615
4% Debentures (repayable 1 April 2031)		30 000
Ordinary share capital		70 000
Retained earnings		21 500
Dividend paid on ordinary shares	5 600	
	<u>345 115</u>	<u>345 115</u>

Additional information

- Inventory at 31 March 2021 was valued at \$6090.
- Depreciation on fittings is to be charged at 20% per annum using the reducing balance method.
- Rent includes a payment of \$1800 for the 3 months from 1 March 2021 to 31 May 2021.
- Accrued wages at 31 March 2021 were \$2250.
- No debenture interest has been paid for the year ended 31 March 2021.
- No dividends were outstanding at 31 March 2021.
- \$2000 is to be transferred to a general reserve on 31 March 2021.

9

REQUIRED

(a) Prepare the income statement for HV Limited for the year ended 31 March 2021.

	HV Limited	
	Income Statement for the year ended 31 March 2021	
	\$	\$
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[8]

10

(b) Prepare the statement of changes in equity for HV Limited for the year ended 31 March 2021.

HV Limited				
Statement of Changes in Equity for the year ended 31 March 2021				
Details	Ordinary Share capital \$	General reserve \$	Retained earnings \$	Total \$
On 1 April 2020				
.....				
.....				
.....				
On 31 March 2021				
				

[5]

(c) Calculate the return on capital employed for the year ended 31 March 2021.
The answer should be correct to **two** decimal places.

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..... [3]

(d) State **two** differences between ordinary shares and preference shares.

1

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2

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..... [4]

[Total: 20]

16

- 5** The trial balance of M Limited at 30 November 2021 was as follows.

M Limited		
Trial Balance at 30 November 2021		
	Debit	Credit
	\$	\$
Revenue		203 600
Inventory at 1 December 2020	12 945	
Purchases	143 750	
Rent and rates	12 460	
Operating expenses	12 920	
Wages	24 380	
Equipment at cost	40 000	
Provision for depreciation of equipment		17 500
Trade receivables	9 800	
Provision for irrecoverable debts		295
Bank	162	
Trade payables		11 585
Ordinary share capital		20 000
General reserve		3 000
Retained earnings		2 037
Dividend paid on ordinary shares	1 600	
	<u>258 017</u>	<u>258 017</u>

Additional information

- Inventory at 30 November 2021 was valued at \$12 830.
- Depreciation on equipment is to be charged at 25% per annum using the reducing balance method.
- Accrued operating expenses at 30 November 2021 were \$415.
- Rent includes a payment of \$2250 for the 3 months from 1 October 2021 to 31 December 2021.
- The provision for doubtful debts is to be set at 4% of trade receivables.

6 No dividends were outstanding at 30 November 2021.

7 \$1000 is to be transferred to the general reserve at 30 November 2021.

(a) Prepare the income statement for M Limited for the year ended 30 November 2021.

[7]

18

(b) Prepare the statement of changes in equity for M Limited for the year ended 30 November 2021.

M Limited Statement of Changes in Equity for the year ended 30 November 2021				
Details	Ordinary Share capital	General reserve	Retained earnings	Total
	\$	\$	\$	\$
On 1 December 2020				
.....				
.....				
.....				
				
On 30 November 2021				

[5]

(c) Calculate the liquid ratio for M Limited at 30 November 2021.
The answer should be correct to **two** decimal places.

Liquid (acid test) ratio	
workings	answer

[3]

19

The managing director, Emily, plans to buy new equipment to be used to improve the profitability of the company. She is considering whether to fund the equipment by issuing further ordinary shares or requesting a bank overdraft.

REQUIRED

- (d) Advise Emily whether to fund the purchase of the equipment by issuing further ordinary shares or by requesting a bank overdraft. Justify your answer.

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..... [5]

[Total: 20]

20

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13

4 The following information is taken from the statement of financial position of C Limited at 1 September 2021.

	\$
5% Debentures (2024)	60 000
Equity	
Ordinary share capital (\$0.50)	240 000
General reserve	36 000
Retained earnings	22 000

During the year ended 31 August 2022:

A final dividend payment of \$12 000 was made for the year ended 31 August 2021.

An interim dividend payment of \$0.02 per share was made for the year ended 31 August 2022.

A transfer of \$11 000 was made to general reserve.

At 31 August 2022 the company proposed a final dividend of \$10 000 for the year ended 31 August 2022.

The revenue for the year ended 31 August 2022 was \$310 000 and the profit (before debenture interest) was \$23 000.

REQUIRED

(a) Prepare the statement for the changes in equity for the year ended 31 August 2022.

C Limited
Statement of Changes in Equity for the year ended 31 August 2022

Details	Share capital \$	General reserve \$	Retained earnings \$	Total \$
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[7]

14

(b) Calculate to **two** decimal places the return on capital employed for the year ended 31 August 2022. (Use closing capital employed).

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..... [4]

(c) (i) Calculate to **two** decimal places the profit margin for the year.

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.....[2]

(ii) Suggest **two** ways in which the profit margin could be improved.

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2

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[2]

C Limited plans to buy additional premises. Two options are being considered to raise the finance required.

Issue 6% debentures to raise \$65 000

Issue additional ordinary shares to raise \$65 000

(d) Evaluate the **two** options and advise the company on which **one** they should choose. Justify your answer.

..... [5]

[Total: 20]

16

- 5 Q Limited prepares its financial statements to 31 March each year.
The company's retained earnings at 1 April 2022 were \$16 250.

During the year ended 31 March 2023, the company made a profit of \$43 500 (after charging all expenses and interest). The total dividends of \$39 000 for the year were paid by 31 March 2023.

The following balances were extracted from the company's ledger accounts after the income statement had been prepared.

	\$
Fittings and equipment at cost	150 000
Provision for depreciation of fittings and equipment	40 650
Motor vehicles at cost	72 000
Provision for depreciation of motor vehicles	31 125
Inventory	51 790
Balance at bank	1 076 debit
Trade receivables	19 700
Provision for doubtful debts	591
Trade payables	31 450
5% Debentures (repayable 2029)	40 000
Bank loan (repayable 2027)	10 000
Ordinary share capital	120 000

REQUIRED

- (a) Calculate the retained earnings of Q Limited at 31 March 2023.

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..... [3]

(b) Prepare the statement of financial position for Q Limited at 31 March 2023.

[illegible]

73

18

(c) Calculate the liquid (acid test) ratio to two decimal places.

.....
.....
..... [2]

The directors (who are also the shareholders) would like to expand the company and wish to borrow \$50 000 to fund the expansion. They are considering whether to issue further ordinary shares or to request another long-term bank loan.

REQUIRED

(d) (i) Suggest **two** reasons why although the company has made a profit, there is little cash available in the bank account to fund the expansion.

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..... [2]

(ii) Advise the directors whether they should fund the expansion by issuing ordinary shares or requesting a bank loan. Justify your answer.

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[Total: 20]

20

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18

- 5** B Limited provides cleaning services to client offices and factories. The clients provide their own cleaning materials. The trial balance of B Limited at 30 June 2023 was as follows.

B Limited Trial Balance at 30 June 2023		
	Debit \$	Credit \$
Revenue		135 040
Wages and salaries	72 000	
Motor expenses	9 820	
Insurance	11 040	
General expenses	12 780	
Motor vehicles at cost	42 000	
Provision for depreciation of motor vehicles		16 500
Equipment at cost	5 000	
Provision for depreciation of equipment		2 000
Trade receivables	1 640	
Bank	19 950	
Ordinary share capital		10 000
General reserve		2 000
Retained earnings		13 490
Dividend paid on ordinary shares	4 800	
	<u>179 030</u>	<u>179 030</u>

Additional information

- Revenue of \$9240 was received in advance.
- The insurance charge for the 12 months to 31 December 2022 was \$7200 and for the 12 months to 31 December 2023 it is \$7440. On 1 January 2023 insurance was paid in full for the 12 months to 31 December 2023.
- Accrued general expenses at 30 June 2023 were \$186.
- Depreciation is to be charged on motor vehicles at 25% per annum using the reducing balance method.
- Depreciation on equipment is to be charged at 20% per annum using the straight line method.
- No dividends were outstanding at 30 June 2023.
- \$1000 is to be transferred to the general reserve at 30 June 2023.

REQUIRED

- B Limited
Income Statement for the year ended 30 June 2023

[illegible]

78

20

(b) Prepare the statement of changes in equity for B Limited for the year ended 30 June 2023.

B Limited
Statement of Changes in Equity for the year ended 30 June 2023

Details	Ordinary Share capital \$	General reserve \$	Retained earnings \$	Total \$
On 1 July 2022				
.....				
.....				
.....				
On 30 June 2023				

[5]

(c) Explain why:

(i) B Limited has no inventory

.....
..... [2]

(ii) B Limited does **not** require a provision for doubtful debts

.....
..... [2]

The directors of B Limited are also the shareholders. They plan to expand the company. They are considering whether to issue debentures or ordinary shares.

(d) Advise the directors whether they should issue debentures or ordinary shares. Justify your answer.

..... [5]

80

24

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* 0000800000014 *



14

4 Y Limited is a public limited company.

REQUIRED:

(a) State **one** difference between a public limited company and a private limited company.

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[1]

(b) Explain the difference between issued share capital and called up share capital.

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[2]

(c) State **two** benefits of operating as a limited company.

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[2]

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Y Limited's financial year ends on 31 December each year. On 1 January 2023, the company had:

- 800 000 ordinary shares of \$1 each, issued and fully paid.
- 300 000 5% redeemable preference shares of \$0.50 each.
- Retained earnings of \$62 000.
- General reserves of \$78 000.

Y Limited provided the following information:

- Proposed final ordinary share dividend of \$43 000 for the year ended 31 December 2022 was paid on 31 March 2023.
- Interim ordinary share dividend of \$40 000 was paid on 30 September 2023.
- Profit for the year ended 31 December 2023 was \$126 000 (before the payment of preference share dividend).

On 31 December 2023:

- The company decided to transfer \$32 000 to its general reserve.
- Agreed a final ordinary share dividend for the year of 6%.

REQUIRED:

(d) Prepare the statement of changes in equity for Y limited for the year ended 31 December 2023

Y Limited
Statement of changes in equity for the year ended 31 December 2023

	Ordinary Share Capital \$	General Reserve \$	Retained Earnings \$	Total \$
On 1 January 2023				
.....				
.....				
.....				
.....				
.....				
On 31 December 2023				

* 0000800000016 *



- (e) Using the information from your statement of changes in equity in 4(d), prepare an extract from the statement of financial position at 31 December 2023 showing **the equity and reserves section only**.

Y Limited
Extract from Statement of financial position at 31 December 2023

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REQUIRED:

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[5]

[1]

[Total: 20]

* 0000800000012 *



12

- 4 H Limited prepares its financial statements to 30 April each year.
- During the year ended 30 April 2025, the following took place:
- 1 The company made a profit for the year of \$26 700 after charging debenture interest.
 - 2 A transfer of \$5000 was made to the general reserve.
 - 3 A dividend of \$5340 was paid. No other dividends are payable for the year.

REQUIRED

(a) Prepare the statement of changes in equity for H Limited for the year ended 30 April 2025.

H Limited
Statement of Changes in Equity for the year ended 30 April 2025

Details	Ordinary share capital \$	General reserve \$	Retained earnings \$	Total \$
On 1 May 2024	120 000	20 000	33 635	173 635
.....				
.....				
.....				
On 30 April 2025				

[4]

H Limited provided the following ledger account balances at 30 April 2025.

	\$
Fixtures and equipment at book value	155 000
Motor vehicles at book value	16 875
Inventory	28 120
Trade payables	26 815
Trade receivables	33 000
Provision for doubtful debts	990
Bank overdraft	5 195
5% Debentures (repayable 2029)	5 000

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REQUIRED

(b) Prepare the statement of financial position for H Limited at 30 April 2025.

H Limited
Statement of Financial Position at 30 April 2025

[illegible]

[7]

* 0000800000014 *



14

(c) State the meaning of the term 'equity'.

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..... [1]

(d) Calculate the return on capital employed for the year ended 30 April 2025. State your answer to **two** decimal places.

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..... [3]

The directors of H Limited would like to expand the business. They are considering issuing debentures for \$60 000 to fund an expansion. These debentures would carry interest of 3%.

REQUIRED

(e) Advise the directors whether or not they should issue the debentures to fund an expansion. Justify your answer by providing **two** points for and **two** points against issuing the debentures to fund an expansion.

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Question 5 starts on page 16.

5.4 Clubs and societies

Included questions

7

11

- 4 RIA Music Club owns its premises where it has a shop and a number of music rooms. Shop sales are for cash and shop purchases are on credit. Mark-up is 20%. The treasurer provided the following information.

	At 1 January 2020	At 31 December 2020
	\$	\$
Subscriptions in advance	1 200	1 050
Subscriptions in arrears	5 215	5 830
Total shop trade payables	4 275	4 990
Shop inventory	2 500	2 500
Balance at bank	240	110
For the year to 31 December 2020		
Subscriptions received	36 700	
Shop purchases	34 200	
Shop purchases returns	1 710	
Interest charged on overdue shop trade payables accounts	200	

REQUIRED

- (a) Prepare the subscriptions account for the year ended 31 December 2020. Balance the account and bring down the balances on 1 January 2021.

RIA Music Club Subscriptions account					
Date	Details	\$	Date	Details	\$
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[6]

12

(b) Prepare the total shop trade payables account for the year ended 31 December 2020 to calculate the amount paid to shop trade payables.

RIA Music Club					
Total shop trade payables account					
Date	Details	\$	Date	Details	\$
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[6]

(c) Calculate the revenue from shop sales for the year ended 31 December 2020.

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..... [3]

13

The treasurer is concerned about the decreasing bank balance and the increase in shop trade payables. He is looking into the possibility of renting out part of the club premises to an art society for \$400 per month.

REQUIRED

- (d) Advise the treasurer whether renting out part of the premises is the most suitable way of improving cash flow or whether other methods may be more suitable. Justify your answer.

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..... [5]

[Total: 20]

18

- 5 The financial year of VL Sports Club ends on 31 December. The treasurer provided the following information about receipts and payments for the year ended 31 December 2020.

Receipts	\$
Subscriptions	19 200
Competition receipts	7 300
Dinner dance ticket sales	6 500
Payments	\$
Competition prizes	4 100
Dinner dance costs	6 200
Equipment	12 000
General expenses	11 500

The treasurer also provided the following information.

	1 January 2020	31 December 2020
	\$	\$
Equipment at net book value	23 000	30 000
General expenses owing	400	500
Subscriptions in arrears	700	300
Subscriptions in advance	1 100	900

Of the subscriptions in arrears on 1 January 2020 an amount of \$80 had not been paid by 31 December 2020 and is to be written off as irrecoverable.

REQUIRED

- (a) Prepare the subscriptions account for the year ended 31 December 2020. Balance the account and bring down the balances on 1 January 2021.

VL Sports Club
 Subscriptions account

Date	Details	\$	Date	Details	\$
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[8]

19

REQUIRED

(b) Prepare the income and expenditure account for VL Sports Club for the year ended 31 December 2020.

VL Sports Club
Income and Expenditure Account for the year ended 31 December 2020

	\$	\$
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[9]

20

The treasurer of VL Sports Club wants to encourage more members to pay their subscriptions in advance by offering a 10% reduction in annual subscription fees.

- (c) Advise the treasurer whether or not VL Sports Club should offer this reduction in annual subscription fees to members who pay in advance. Justify your answer with **one** advantage and **one** disadvantage.

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..... [3]

[Total: 20]

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16

- 5 The Sew and Soup Club offers membership to people who are interested in sharing sewing and knitting patterns. It runs a refreshment café for members. The club had the following assets and liabilities at 31 December.

	2020	2021
	\$	\$
Subscriptions in advance	2 260	1 745
Subscriptions in arrears	1 820	2 115
Inventory of refreshments	1 070	1 130
Rent paid in advance	500	500
Trade payables for refreshment supplies	1 940	1 580
Bank balance	4 628	7 743

The following totals are for the year ended 31 December 2021.

	\$
Receipts	
Subscriptions received (all by cheque)	13 900
Cash sales from refreshments	17 650
Payments	
Rent	6 000
Wages	7 000
Other expenses	5 000
Trade payables for refreshment supplies	10 435

17

REQUIRED

- (a) (i) Prepare the subscriptions account for the year ended 31 December 2021. Balance the account and bring down the balances on 1 January 2022.

Sew and Soup Club
Subscriptions account

Date	Details	\$	Date	Details	\$
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[6]

- (ii) Explain whether the treasurer should be satisfied with the amount of cash received from member subscriptions during the year ended 31 December 2021.

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..... [3]

18

(b) Calculate the profit on refreshments for the year ended 31 December 2021.

	\$	\$
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[7]

(c) Prepare the current assets section of the club's statement of financial position at 31 December 2021.

Sew and Soup Club
Statement of financial position (extract) at 31 December 2021

	\$	\$
Current Assets		
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[4]

[Total: 20]

20

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8

- 3 The Favourite Book Club was formed several years ago. The subscription amount of \$52 per annum has remained unchanged since the club started. All subscriptions are paid by cheque or credit transfer.

The treasurer provided the following information.

	At 1 January 2022	At 31 December 2022
	\$	\$
Subscriptions in advance	260	156
Subscriptions in arrears	468	1040
Insurance paid in advance	348	366
Cash at bank	68	114

For the year to 31 December 2022:

Receipts	\$
Subscriptions received	5356
Payments	
Rent paid	2080
Insurance paid	732
General expenses paid	2498

The club had 128 members in 2021 and 120 in 2022. The treasurer is aware that 4 current members will not pay their subscriptions for 2022. She has decided to write these subscriptions off.

REQUIRED

- (a) Prepare the subscriptions account for the year ended 31 December 2022. Balance the account and bring down the balances on 1 January 2023.

9

Favourite Book Club
Subscriptions account

Date	Details	\$	Date	Details	\$
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[7]

(b) Prepare the income and expenditure account for the year ended 31 December 2022.

Favourite Book Club
Income and Expenditure Account for the year ended 31 December 2022

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[6]

10

The treasurer is considering increasing the subscription amount in order to obtain sufficient funds to purchase computer equipment. The equipment would cost \$400 and would be used to maintain the club records.

REQUIRED

- (c) Advise the treasurer whether she should fund the purchase of the computer equipment by increasing the subscription amount. Justify your answer by making points for **and** against increasing the subscription amount. Calculations are **not** required.

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..... [5]

- (d) State the meaning of the following terms:

- (i) receipts and payments account

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..... [1]

- (ii) accumulated fund

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..... [1]

[Total: 20]

10

- 3 The Sporting Excellence Club provides sports facilities for its members. It also runs a shop where members can buy sportswear.

The club’s assets and liabilities included the following.

	31 December 2022	31 December 2023
	\$	\$
Subscriptions received in advance	610	570
Subscriptions received in arrears	480	465
Insurance paid in advance	240	250
Shop inventory	2 500	2 750
Trade payables for shop supplies	2 140	2 470

The following totals have been taken from the club’s receipts and payments account for the year ended 31 December 2023.

Receipts	\$
Subscriptions received	11 950
Shop sales	31 890
Payments	
Trade payables for shop supplies	23 290
Shop wages	3 268
Club rent and insurance	7 390
Other club expenses	1 122

REQUIRED

- (a) Prepare the subscriptions account for the year ended 31 December 2023. Balance the account and bring down the balances at 1 January 2024.

The Sporting Excellence Club
Subscriptions account

[6]

- The Sporting Excellence Club
Rent and insurance account

[4]

- [3]

12

(d) Prepare the income statement for the shop for the year ended 31 December 2023

The Sporting Excellence Club		
Shop income statement for the year ended 31 December 2023		
	\$	\$
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[5]

(e) State the meaning of the following terms.

(i) accumulated fund

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..... [1]

(ii) income and expenditure account

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..... [1]

[Total: 20]

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10

3 Sports T is a club providing sporting facilities to its members. The club hires all sporting equipment.

The club also runs a small café selling food and refreshments which members and guests can use. All sales from the café are on a cash basis.

The club treasurer has provided the following information for the year ending 31 December 2023:

Receipts throughout the year:

	\$
Café sales	27 000
Members' subscriptions	162 000
Bank interest	720

Payments made throughout the year:

	\$
Salaries & Wages:	
Sports coaches	58 220
Administration salaries	31 720
Café assistant's wages	14 352
Rent of premises	16 250
Hiring costs – sports equipment	31 900
Rates and insurance	3 200
Purchases of food and drink for resale	8 220
Accountancy fees	2 400

Balances at 1 January 2023:

	\$
Inventory of food & drink	1 290
Subscriptions owing from previous year	1 520
Receipts and payments account	3 300 debit

Balances at 31 December 2023:

	\$
Inventory of food & drink	1 340
Subscriptions received in advance	2 800
Subscriptions outstanding	1 280

Additional information:

1. The contract for hiring the sports equipment is \$34 800 per annum and is paid monthly.
2. Rent of premises is paid for the period from 1 January 2023 up to 31 January 2024.

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REQUIRED

(a) Prepare the café income statement for the year ended 31 December 2023.

Sports T club
Café Income Statement for the year ended 31 December 2023

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[5]

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12

(b) Prepare the subscriptions account in the books of Sports T club for the year ending 31 December 2023.

Balance the account and bring down the balances on 1 January 2024.

Sports T club
Subscriptions account for the year ended 31 December 2023

Date	Details	\$	Date	Details	\$
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13



(c) Prepare the income and expenditure account of Sports T club for the year ended 31 December 2023.

Sports T club
Income and expenditure account for the year ended 31 December 2023

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[10]
[Total: 20]

* 0000800000018 *



18

- 5 The ABC Piano Club provides facilities for its members. It also runs a coffee shop where members can buy hot drinks and snacks.

The club's assets and liabilities were as follows:

	31 December 2023	31 December 2024
	\$	\$
Pianos at cost	12 000	12 000
Pianos – Provision for depreciation	4 800	6 000
Subscriptions received in advance	650	715
Subscriptions received in arrears	390	325
Club insurance paid in advance	140	155
Club rent paid in arrears	435	–
Coffee shop inventory	320	382
Trade payables for coffee shop supplies	200	186
Cash at bank (debit balances)	2 045	4 675

REQUIRED

- (a) Calculate the accumulated fund at 31 December 2023.

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19

The following totals have been taken from the club's receipts and payments account for the year ended 31 December 2024.

Receipts	\$
Subscriptions received	7 800
Coffee shop sales	8 320
Payments	
Club rent and insurance	6 700
Other club expenses	375
Trade payables	3 815
Coffee shop wages	2 600

REQUIRED

- (b) Prepare the subscriptions account for the year ended 31 December 2024. Balance the account and bring down the balances on 1 January 2025.

ABC Piano Club
Subscriptions account

Date	Details	\$	Date	Details	\$
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[6]

* 0000800000020 *



20

- (c) Prepare the Club’s rent and insurance account for the year ended 31 December 2024.
Balance the account and bring down the balance on 1 January 2025.

ABC Piano Club
Club’s rent and insurance account

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21

(d) Prepare the income statement for the coffee shop for the year ended 31 December 2024.

ABC Piano Club
Coffee shop income statement for the year ended 31 December 2024

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5.5 Manufacturing accounts

Included questions

10

10

- 3 TC Limited is a manufacturing company. The company's year end is 31 January.
 On 31 January 2021, the company's ledger account balances included the following.

	\$
Inventory at 1 February 2020	
Raw materials	7 500
Work in progress	11 220
Finished goods	925
Purchases	
Raw materials	91 400
Finished goods	6 850
Wages	
Factory operatives	52 000
Factory supervisor	23 100
Rent and rates	19 620
Insurance	4 600
General factory expenses	4 200
Carriage inwards on raw materials	6 280
Factory equipment at cost	90 000
Provision for depreciation of factory equipment	30 960

Additional information

- 1 Inventory at 31 January 2021

Raw materials	8 000
Work in progress	11 900
Finished goods	1 075
- 2 The factory equipment is to be depreciated at 20% per annum using the reducing balance method.
- 3 In December 2020, \$3600 was paid for rent for the period 1 December 2020 to 28 February 2021.
- 4 At 31 January 2021 rates of \$550 were unpaid.
- 5 Rent and rates are to be apportioned equally between the factory and the office.
- 6 Insurance is to be apportioned 75% to the factory and 25% to the office.

11

REQUIRED

- (a) Prepare the rent and rates account for TC Limited for the year ended 31 January 2021. Balance the account and bring down the balances on 1 February 2021.

TC Limited					
Rent and rates account					
Date	Details	\$	Date	Details	\$
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[5]

(b) Prepare the manufacturing account for TC Limited for the year ended 31 January 2021.

\$

\$

[illegible]

126

The directors of TC Limited are considering the purchase of various low-value items of office equipment.

(c) Advise the directors whether or not they should charge depreciation on these items. Justify your answer by providing **two** advantages and **two** disadvantages.

[5]

127

8

- 3 On 31 July 2021 the following information was provided by KA Limited, a manufacturer of garden tools.

	\$
Inventory 1 August 2020	
Raw materials	5 820
Work in progress	1 750
Finished goods	12 360
Purchases	
Raw materials	34 200
Finished goods	3 900
Carriage on purchases	
Raw materials	410
Finished goods	80
Direct wages	67 200
Indirect factory wages	24 000
Factory machinery at cost	47 000
Provision for depreciation of factory machinery	11 000
Factory general overheads	16 400
Rates	5 300
Inventory 31 July 2021	
Raw materials	6 030
Work in progress	2 780
Finished goods	10 340
Revenue	223 000

Additional information

- 1 On 31 July 2021 rates, \$500, were prepaid.
Rates are to be apportioned 75% factory, 25% office.
- 2 On 31 July 2021 factory general overheads, \$230, were accrued.
- 3 Factory machinery is to be depreciated at 20% per annum using the reducing balance method.

REQUIRED

- (a) Prepare the manufacturing account of KA Limited for the year ended 31 July 2021.

KA Limited
Manufacturing Account for the year ended 31 July 2021

129

10

(b) Prepare the income statement (trading section) of KA Limited for the year ended 31 July 2021.

KA Limited
Income Statement (Trading section) for the year ended 31 July 2021

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[4]

11

DH Limited, a customer of KA Limited, has been declared bankrupt. A debt of \$350 was owing to KA Limited. This is to be written off.

REQUIRED

(c) Prepare the journal entry to record the irrecoverable debt. A narrative is **not** required.

KA Limited
Journal

Details	Debit \$	Credit \$
.....		
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.....		

[2]

KA Limited maintains a provision for doubtful debts.

REQUIRED

(d) Explain how maintaining a provision for doubtful debts is an application of **each** of the following accounting principles.

(i) Matching

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..... [2]

(ii) Prudence

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..... [2]

[Total: 20]

8

3 Pari owns a clothing factory. Her year end is 31 December.

At 31 December 2021, her ledger account balances included the following.

	\$
Inventory at 1 January 2021	
Raw materials	6 100
Work in progress	9 420
Finished goods	11 350
Revenue	230 020
Purchases of raw materials	84 200
Wages	
Factory operatives	33 000
Factory supervisor	26 000
Office and sales staff	45 000
Rates and insurance	14 000
General factory expenses	11 500
Factory equipment – at cost	100 000
Factory equipment – provision for depreciation	36 000

Additional information

- Inventory at 31 December 2021

Raw materials	6 840
Work in progress	9 885
Finished goods	12 630
- Rates and insurance are to be apportioned equally between the factory and the office.
- At 31 December 2021, general factory expenses of \$500 were unpaid.
- Factory equipment is depreciated at 20% per annum using the reducing balance method.

REQUIRED

- Pari
- Manufacturing Account for the year ended 31 December 2021

[illegible]

133

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(b) Prepare Pari's income statement (trading section) for the year ended 31 December 2021.

Pari		
Income Statement (trading section) for the year ended 31 December 2021		
	\$	\$
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[4]

(c) Calculate Pari's gross margin. Your answer should be correct to **two** decimal places.

Gross margin	
working	answer

[2]

11

Pari is disappointed in her cost of production and gross profit. She is considering buying in her products instead of producing them in her factory.

REQUIRED

(d) Advise Pari whether or not she should start to buy in her products. Justify your answer.

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..... [5]

[Total: 20]

12

- 4 Salman owns a footwear factory. He sells to all of the three local shoe shops. Salman prepares his financial statements to 30 April each year.

At 30 April 2023, Salman's ledger account balances included the following.

	\$
Inventory at 1 May 2022	
Raw materials	8 190
Work in progress	15 200
Finished goods	23 860
Purchases of raw materials	78 420
Purchases of finished goods	90 144
Wages	
Factory supervisor	27 500
Factory operatives	52 396
Rates and insurance	17 528
Factory electricity	11 442
General factory expenses	8 244
Factory equipment – at cost	90 000
Factory equipment – provision for depreciation	43 920
Balance at bank	31 000 debit

Additional information

- 1 Inventory at 30 April 2023

Raw material	8 000
Work in progress	16 100
Finished goods	24 590
- 2 Salman applies a mark-up of 50% to his cost of sales.
- 3 Rates and insurance are to be apportioned three quarters to the factory and one quarter to the office.
- 4 At 30 April 2023, factory electricity of \$1048 was unpaid.
- 5 Factory equipment is depreciated at 20% per annum using the reducing balance method.

REQUIRED

- Salman
Manufacturing Account for the year ended 30 April 2023

[illegible]

137

14

(b) Prepare the trading section of Salman’s income statement for the year ended 30 April 2023.

Salman
Income Statement (trading section) for the year ended 30 April 2023

	\$	\$
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[5]

Salman is considering converting some of his office space into additional factory capacity.

- [5]

[Total: 20]

8

- 2 Hilary owns a manufacturing business. She has provided the following information.

	\$
Inventory at 1 August 2022	
Raw materials	9 100
Work in progress	21 357
Finished goods	24 235
For the year ended 31 July 2023	
Revenue	457 250
Purchases of raw materials	110 000
Purchases returns of raw materials	2 200
Purchases of finished goods	23 500
Purchases returns of finished goods	4 700
Wages of factory operatives	91 665
Wages of factory supervisor	29 000
Wages of office supervisor	28 000
Heat, light and power	11 600
Rates and insurance	8 250
Factory repairs and renewals	5 125
Factory equipment – at cost	124 000
Factory equipment – provision for depreciation	35 500

Additional information

- 1 Inventory at 31 July 2023

Raw material	9 980
Work in progress	22 446
Finished goods	25 110
- 2 Heat, light and power is to be apportioned 4/5 to the factory and 1/5 to the office.
- 3 Rates and insurance is to be apportioned 3/5 to the factory and 2/5 to the office. Insurance of \$4440 has been paid for the year to 31 December 2023.
- 4 At 31 July 2023, a factory repair, \$644, was unpaid and no adjustment had been made.
- 5 Factory equipment is depreciated at 25% per annum using the reducing balance method.

9

REQUIRED

(a) Prepare Hilary’s manufacturing account for the year ended 31 July 2023.

Hilary
Manufacturing Account for the year ended 31 July 2023

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[11]

10

(b) Calculate Hilary’s gross profit for the year ended 31 July 2023.

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..... [4]

Hilary is considering stopping buying any finished goods for resale and instead increasing the production at her factory.

REQUIRED

(c) Advise Hilary whether she should sell only production from her own factory and increase the amount produced. Justify your answer by providing arguments for and against selling only production from her own factory and increasing the amount produced.

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..... [5]

[Total: 20]

6

- 2 Sara owns a clothing factory. She sells the clothing to a small number of local shops. She allows 30 days credit.

At 30 September 2023, Sara's ledger account balances included the following.

	\$
Inventory at 1 October 2022	
Raw materials	4 875
Work in progress	8 125
Finished goods	12 890
Purchases of raw materials	56 400
Wages	
Machine operators	43 300
Factory supervisor	25 000
Delivery vehicle driver	14 250
Rates and insurance	29 600
General factory expenses	9 650
Factory machinery – at cost	80 000
Factory machinery – provision for depreciation	35 000
Trade receivables	27 000
Cash at bank	1 050

Additional information

- Inventory at 30 September 2023

Raw material	5 110
Work in progress	7 365
Finished goods	13 725
- At 30 September 2023 general factory expenses of \$335 were unpaid.
- Insurance of \$8000 had been paid for the year July 2023 to June 2024.
- Rates and insurance are to be apportioned equally between the factory and the office.
- Factory machinery is depreciated at 25% per annum using the reducing balance method.

REQUIRED

- Sara
Manufacturing Account for the year ended 30 September 2023

[illegible]

144

8

(b) Prepare the current assets section of Sara’s statement of financial position at 30 September 2023.

Sara
Statement of financial position (current assets section) at 30 September 2023

	\$	\$
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[3]

Sara’s factory supervisor is very efficient at running the factory.

REQUIRED

(c) State which accounting principle Sara is complying with by **not** recording any value for this efficiency in her financial statements.

..... [1]

Sara has now been asked to supply a local drama school with theatrical costumes. The drama school would place an order with Sara each month and would require 60 days credit.

(d) Advise Sara whether she should start supplying the drama school with costumes. Justify your answer by providing advantages **and** disadvantages of supplying the costumes.

[5]

146

4

Lottie sells 3 different types of goods. Her inventory at 30 April 2024 is as follows.

Type	Number of units	Purchase price per unit \$	Net realisable value per unit \$	Carriage inwards per unit \$
A	60	14	20	1
B	85	17	24	0
C	30	21	22	2

REQUIRED

(d) Calculate the value of Lottie’s inventory at 30 April 2024.

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..... [4]

Lottie pays \$360 per annum for insurance. On 1 May 2023, insurance of \$60 was prepaid. On 1 August Lottie paid \$360 by bank transfer for the year 1 July 2023 to 30 June 2024.

REQUIRED

(e) Prepare the insurance account for the year ended 30 April 2024. Bring down the balance at 1 May 2024.

Lottie
Insurance account

Date	Details	\$	Date	Details	\$
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[4]

[Total: 20]

6

- 2 Toyah owns a factory which makes dolls' houses. Her financial year end is 31 January.
At 31 January 2024, her ledger accounts included the following balances.

	\$
Inventory at 1 February 2023	
Raw materials	12 400
Work in progress	16 970
Finished goods	14 825
Revenue	390 100
Purchases of raw materials	143 000
Wages	
Factory operatives	51 000
Factory supervisor	19 000
Sales staff	30 000
Factory electricity	16 000
Rates and insurance	16 200
General factory expenses	6 155
Factory machinery – at cost	120 000
Factory machinery – provision for depreciation	52 500

Additional information

1. Inventory at 31 January 2024
- | | |
|------------------|--------|
| Raw material | 11 205 |
| Work in progress | 17 682 |
| Finished goods | 13 480 |
2. Rates and insurance are to be apportioned 2/3 to the factory and 1/3 to the office.
3. At 31 January 2024, general factory expenses of \$235 were unpaid.
4. Factory machinery is depreciated at 25% per annum using the reducing balance method.

REQUIRED

- Toyah
Manufacturing Account for the year ended 31 January 2024

[illegible]

150

8

(b) Prepare Toyah’s income statement (trading section) for the year ended 31 January 2024.

Toyah		
Income statement (trading section) for the year ended 31 January 2024		
	\$	\$
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[5]

The factory produced 6936 dolls’ houses during the year ended 31 January 2024.

REQUIRED

(c) Calculate the manufacturing cost of each dolls’ house. Round up your answer to the nearest dollar.

.....

..... [1]

9

Idir, a competitor of Toyah’s, has decided to cease trading. He has offered to sell his inventory of finished goods to Toyah at a discounted price in return for immediate payment in cash. The total price for these items is \$9600. Toyah has \$1415 cash at bank.

REQUIRED

- (d) Advise Toyah whether or not she should buy Idir’s inventory. Justify your answer by providing **two** points for and **two** points against buying this inventory.

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..... [5]

[Total: 20]

* 0000800000018 *



18

5 The following information was provided by G Limited, a manufacturing company, for the year ended 31 March 2024.

	\$	
Purchases:		
Raw materials	68 000	
Finished goods	32 413	
Wages:		
Factory operatives	183 700	
Factory supervisors	47 200	
Administration salaries	34 925	
Factory machinery at cost	247 000	
Provision for depreciation of factory machinery	51 500	
Factory general expenses	20 250	
Rates & insurance	7 100	
Administration expenses	5 470	
Carriage on purchases of finished goods	2 180	
Royalties	3 240	
	1 April 2023	31 March 2024
	\$	\$
Inventory:		
Raw materials	18 200	19 280
Work in progress	23 400	22 650
Finished goods	6 820	9 350

Additional information

- 1 Factory machinery is to be depreciated at 15% per annum using the reducing balance method.
- 2 On 31 March 2024 rates, \$620, were owing.
- 3 Rates and insurance are to be apportioned 60% to the factory and 40% to the office.

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19

REQUIRED

- (a)** Prepare the manufacturing account for the year ended 31 March 2024.

G Limited
Manufacturing account for the year ended 31 March 2024

[illegible]

[10]

* 0000800000020 *



20

G Limited apply a standard rate of mark-up of 35%.

REQUIRED:

- (b) Prepare the trading section of the income statement of G Limited for the year ended 31 March 2024.

G Limited
Income Statement (Trading section) for the year ended 31 March 2024

	\$	\$
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[5]

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	Trade receivables turnover (days)	Irrecoverable debts \$
At 31 March 2024	38	32 060
At 1 April 2023	29	19 200

The consultant would charge a fee of \$14 000 for their services.

(c) Advise G Limited whether to employ the consultant to review their credit control policy. Justify your answer with **two** advantages and **two** disadvantages.

[5]

1

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* 0000800000016 *



- 5 Grace owns a factory which makes shoes. She buys handbags from a supplier and sells the shoes and handbags.

Grace prepares her financial statements to 31 March each year. At 31 March 2025, her ledger account balances included the following:

	\$
Inventory at 1 April 2024	
Raw materials	5 345
Work in progress	13 820
Finished goods (shoes)	27 540
Purchases of raw materials	72 870
Carriage inwards of raw materials	1 220
Wages:	
Factory operatives	29 175
Factory supervisor	24 000
Office staff	26 170
Rent and insurance	12 000
Factory power	14 120
Factory equipment – at cost	180 000
Factory equipment – provision for depreciation	64 800

Additional information

- 1 Inventory at 31 March 2025:

Raw materials	7 100
Work in progress	14 390
Finished goods (shoes)	27 985
- 2 Rent and insurance is to be apportioned 65% to the factory and 35% to the office.
- 3 At 31 March 2025, Grace owed \$1315 for factory power and \$2000 for the factory supervisor's wages.
- 4 Factory equipment is depreciated at 20% per annum using the reducing balance method.



17

REQUIRED

- (a)** Prepare Grace's manufacturing account for the year ended 31 March 2025.

Grace
Manufacturing Account for the year ended 31 March 2025

[illegible]

[10]

* 0000800000018 *



Grace buys handbags for \$14 each and sells them for \$27 each. Grace counted her inventory of handbags on 31 March 2025 and found that:

- She had a total of 255 handbags.
- 15 handbags needed to be cleaned before sale. Grace needed to pay a total of \$21 to have them cleaned. She expected to sell them for \$25 each.
- 3 handbags had become damaged. Grace could not repair these handbags and decided to sell them for \$13 each.

REQUIRED

(b) Calculate the valuation of Grace’s inventory of handbags at 31 March 2025.

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..... [4]

(c) State how Grace is applying the historic cost accounting principle when she prepares her financial statements.

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..... [1]

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Grace is considering producing the handbags in her factory instead of buying them in.

(d) Advise Grace whether or not she should start producing handbags in her factory. Justify your answer with points for and against Grace producing handbags in her factory.

[5]

[Total: 20]

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* 0000800000018 *

DFD



18

5 GH Company manufactures car parts and has provided the following information relating to the year ended 31 March 2025.

	\$
Revenue	1 107 272
Raw materials	
Inventory at 1 April 2024	21 700
Inventory at 31 March 2025	16 400
Finished goods	
Inventory at 1 April 2024	76 370
Inventory at 31 March 2025	49 660
Salaries and wages	
Operatives' wages	241 200
Factory supervisors' salaries	48 240
Office staff salaries	64 350
Purchases of raw materials	280 050
Purchases of finished goods	122 430
Carriage in on finished goods	2 242
Factory machinery at cost	427 000
Accumulated depreciation of factory machinery	187 000
Rent and rates	10 060
Electricity charges	9 344
Insurance	18 400
Factory general expenses	27 640
Work in progress at 1 April 2024	83 440
Work in progress at 31 March 2025	92 510

Additional information

- 1 Depreciation on factory machinery is to be provided at 15%, using the reducing balance method.
- 2 Rent and rates – 60% relate to the factory, with the remainder being for the office.
- 3 Electricity charges are to be split in the ratio 5 : 3 between factory and office.
- 4 Insurance is split equally between factory and office.

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DFD



19

REQUIRED

- (a)** Prepare the manufacturing account for GH Company for the year ended 31 March 2025.

GH Company
Manufacturing Account for the year ended 31 March 2025

[illegible]

[13]

* 0000800000020 *

DFD



20

REQUIRED

- (b) Prepare the trading section of the income statement for GH Company for the year ended 31 March 2025.

GH Company
Income Statement (Trading section) for the year ended 31 March 2025

	\$	\$
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[7]

[Total: 20]

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5.6 Incomplete records

Included questions

5

5

- 2 Stalla started trading on 1 April 2021. All receipts are paid into the bank and all payments are made from the bank. She has not kept a full set of books but has provided the following information.

Summary of receipts and payments for the year ended 31 March 2022

	\$
Receipts	
Capital introduced	8 000
Loan received (repayable 2027)	5 000
Sales (all cash)	36 000
Payments	
Trade payables	17 850
Fixtures and fittings	12 000
General expenses	1 920
Rent and insurance	7 100
Drawings	?
Bank balance at 31 March 2022	2 330

REQUIRED

- (a) Record the total receipts and total payments to Stalla’s bank account showing the cash drawings for the year ended 31 March 2022. Balance the bank account and bring the balance down on 1 April 2022.

Stalla Bank account					
Date	Details	\$	Date	Details	\$
.....					
.....					
.....					
.....					
.....					
.....					
.....					

[4]

6

During the year ended 31 March 2022, Stalla took goods from the business for her own personal use. The selling price of these goods is \$3375. Her mark-up is 25%.

REQUIRED

(b) Calculate Stalla’s total drawings for the year ended 31 March 2022.

.....

.....

.....

..... [2]

Stalla has provided a list of balances at 31 March 2022.

	\$
Fixtures and fittings (net book value)	10 800
Inventory	2 150
Prepaid rent	500
Balance at bank	2 330
Trade payables	1 875
Loan (repayable 2027)	5 000
Capital	?

REQUIRED

(c) Prepare a statement of affairs to calculate Stalla’s capital at 31 March 2022.

7

Stalla
Statement of Affairs at 31 March 2022

	\$	\$
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[5]

(d) Calculate Stalla’s profit for the year ended 31 March 2022.

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..... [4]

Stalla is now considering whether she should start to sell at least some of her goods on credit.

(e) Advise Stalla whether or not she should start selling on credit terms. Justify your answer.

[5]

172

16

5 Amadi prepared the following trial balance which is not yet totalled and contains errors.

Amadi		
Trial balance at 31 March 2023		
	Debit	Credit
	\$	\$
Fittings and equipment at cost		30 000
Provision for depreciation of fittings and equipment	7 500	
Trade receivables	6 100	
Bank overdraft	3 106	
Trade payables		3 485
Capital		20 000
Sales		73 250
Purchases		41 785
Discount received	1 990	
Returns inwards	3 390	
Carriage inwards	1 223	
General expenses	6 430	
Rent and rates	7 380	
Drawings	9 500	
Inventory at 1 April 2022		3 752
Inventory at 31 March 2023	3 965	

REQUIRED

- (a) Prepare a corrected trial balance at 31 March 2023. Show the remaining difference between the debit and credit totals as ‘suspense.’

17

Amadi
Corrected Trial Balance at 31 March 2023

	Debit \$	Credit \$
Fittings and equipment at cost		
Provision for depreciation of fittings and equipment		
Trade receivables		
Bank overdraft		
Trade payables		
Capital		
Sales		
Purchases		
Discount received		
Returns inwards		
Carriage inwards		
General expenses		
Rent and rates		
Drawings		
Inventory		
Suspense		
		
		

[6]

18

Amadi then discovered the following errors.

- 1 The general expenses account had been undercast by \$200.
- 2 A rent payment, \$516, had been posted to the rent and rates account as \$615.
- 3 The total for discount received in the cash book for February 2023, \$165, had been debited to the drawings account. No other entry for this total had been made.

REQUIRED

(b) Prepare the suspense account.

Amadi Suspense account					
Date 2023	Details	\$	Date 2023	Details	\$
.....					
.....					
.....					
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.....					

[5]

REQUIRED

(c) Prepare the trading section of Amadi’s income statement for the year ended 31 March 2023.

19

Amadi
Income Statement (trading section) for the year ended 31 March 2023

	\$	\$
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[4]

(d) Calculate Amadi’s gross margin, correct to two decimal places.

Gross margin	
workings	answer

[2]

Amadi’s main competitor is Hector who owns his own business premises. Amadi and Hector have similar gross margins but Hector has a slightly higher profit margin.

REQUIRED

(e) Explain whether or not Amadi should be satisfied with these results.

.....

.....

.....

.....

..... [3]

[Total: 20]

20

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18

- 5 Stella started in business as a retailer on 1 April 2023. She sells one type of good only. She has not kept a full set of accounting records but has provided the following information.
- 1 Half of Stella's purchases were on cash terms and half on credit terms. During the year ended 31 March 2024, Stella paid \$34 250 to credit suppliers. On 31 March 2024, she owed \$2960 to credit suppliers.
 - 2 Unlike her competitors, Stella made all of her sales for cash. Stella's mark-up was 32%.
 - 3 The following amounts were paid for expenses during the year to 31 March 2024.
- | | |
|--------------------|------|
| | \$ |
| Rent and insurance | 6750 |
| Wages | 8300 |
| Other expenses | 1815 |
- 4 At 31 March 2024, \$300 was unpaid for wages and \$500 was paid in advance for rent.
 - 5 Insurance is \$2400 per annum. On 1 April 2023, Stella paid \$3000 for insurance for the following 15 months.
 - 6 Other expenses included \$120 paid for vases and flowers. One third of these were for Stella's own home. Stella treats business costs of under \$150 as revenue expenditure.
 - 7 Inventory was valued at \$6420 at 31 March 2024.

REQUIRED

- (a) Calculate total purchases for the year ended 31 March 2024.

.....

.....

.....

..... [3]

(b) Prepare Stella's income statement for the year ended 31 March 2024.

[illegible]

Stella's sales revenue was the same each month for the year to 31 March 2024. She is now considering selling on credit terms as well as for cash.

(c) Advise Stella whether or not to start selling on credit terms. Justify your answer by providing points for and against starting selling on credit.

..... [5]

180

20

- (d) State:
- (i) the accounting principle which Stella is following when she treats payments for small items which may last longer than one year, as revenue expenditure.
.....
..... [1]
 - (ii) one advantage of following the principle in 5(d)(i).
.....
..... [1]
- (e) State **two** advantages of maintaining a full set of double entry accounting records.
.....
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..... [2]

[Total: 20]

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* 0000800000006 *



6

2 Ben runs a small business but does not maintain a full set of accounting records. He has provided the following information:

	31 March 2024	1 April 2023
	\$	\$
Premises at cost	140 000	140 000
Machinery at cost	106 000	92 000
Accumulated depreciation on machinery	36 000	10 000
Inventory	42 000	24 600
Trade receivables	43 400	39 600
Trade payables	19 700	24 750
Bank	13 000 debit	3 200 credit
Other receivables	1 200	1 650

REQUIRED:

(a) Calculate Ben's opening and closing capital.

	Workings	Answer \$
Capital at 1 April 2023		
Capital at 31 March 2024		

* 0000800000007 *



7

During the year ended 31 March 2024, Ben withdrew goods for his own use, \$620. He also deposited an additional \$10 000 cash into the business bank account from his personal funds.

REQUIRED:

- (b) Calculate the profit for the year using the table below. Include your opening and closing capitals from **2(a)** and indicate whether the amounts of Ben's transactions shown should be added or deducted from the opening capital.

	Added to opening capital \$	Deducted from opening capital \$	Total \$
Capital at 1 April 2023			
Capital introduced			
Profit for the year			
Drawings			
Total adjustments			
Capital at 31 March 2024			

[4]

In addition, Ben was able to provide details of transactions received and paid.

	\$
Receipts from credit customers	452 000
Cash sales	21 000
Payments to credit suppliers	224 700

REQUIRED:

- (c) (i) Calculate Ben's credit purchases for the year ended 31 March 2024.

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[3]

[illegible]

[3]

REQUIRED:

[illegible]

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9



Ben has reviewed the age and level of his trade receivables and believes he should provide for possible doubtful debts.

REQUIRED:

- (e) (i) Which accounting principle would he be applying by creating a provision for doubtful debts?

.....

.....

[1]

- (ii) Complete the table by placing a tick (✓) to show what effect creating a provision for doubtful debts would have on Ben's profit for the year, trade receivables and cash at bank.

	Profit for the year	Trade receivables	Cash at bank
Increase			
Decrease			
No effect			

[2]

[Total: 20]

* 0000800000018 *



18

- 5 Rexford is a trader. All his sales and purchases are on credit. He does not keep a full set of accounting records but has provided the following information.

Assets and liabilities at 1 January 2024:

	\$
Fixtures and fittings (cost)	28 000
Accumulated depreciation on fixtures and fittings	22 400
Inventory	6 000
Trade receivables	21 750
Insurance prepaid	300
Cash at Bank	3 425
Trade payables	5 680

Bank payments during the year to 31 December 2024:

	\$
Trade payables (after deducting cash discount of \$380)	68 100
Rent and insurance	10 120
General expenses	4 730
Wages	6 400
Drawings	12 200

Additional Information

- 1 The only amounts received during the year to 31 December 2024 were \$103 200 from trade receivables.
- 2 Rexford applies a mark-up of 50%.
- 3 Depreciation is charged at 20% using the straight-line method.
- 4 Inventory at 31 December 2024 was valued at \$400 more than inventory at 1 January 2024.
- 5 The amount owed to trade payables at 31 December 2024 was 25% more than the amount owed at 1 January 2024.

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REQUIRED

- Rexford
Purchases ledger control account

[illegible]

(b) Prepare Rexford's income statement for the year ended 31 December 2024.

Rexford
Income Statement for the year ended 31 December 2024

[illegible]

187



20

- (c)** Calculate Rexford's trade receivables at 31 December 2024.

..... [3]

Rexford is considering employing a part-time bookkeeper. The bookkeeper would be paid \$5000 per annum.

REQUIRED

- (d) Advise Rexford whether or not he should employ a bookkeeper. Justify your answer by providing **two** points for and **two** points against employing a part-time bookkeeper.

[5]

[Total: 20]

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